Bank Loan Applications Analysis Report

1. Executive Summary

The bank's loan portfolio shows a strong performance with a **Good Loan rate of 84.1%**. Total loan disbursements amount to **$169.02 Million**, while the total payment received stands at **$183.46 Million**, indicating a positive return on the principal amount inclusive of interest.

2. Key Performance Indicators (KPIs)

- **Total Loan Applications:** 14,384
- **Total Funded Amount:** $169,023,600
- **Total Amount Received:** $183,455,468
- **Average Interest Rate:** 12.30%
- **Average Debt-to-Income (DTI) Ratio:** 13.35%

3. Loan Quality Analysis

The portfolio is categorized into "Good Loans" and "Bad Loans" to monitor credit risk.

- **Good Loans (84.1%):** Consists of 12,100 applications that are either "Fully Paid" or "Current." This segment represents the healthy portion of the portfolio.
- **Bad Loans (15.9%):** Consists of 2,284 "Charged Off" applications. While this is the minority, it represents a significant area for risk mitigation strategies.

4. Loan Status Breakdown

- **Fully Paid:** 11,587 applications (80.6% of total). This is the primary driver of the bank's revenue.
- **Charged Off:** 2,284 applications (15.9%). These represent defaulted loans where the bank has stopped expecting further payments.
- **Current:** 513 applications (3.5%). These are ongoing loans with active payment schedules.

5. Purpose of Loans

The majority of borrowers seek loans for financial restructuring. The top 5 reasons are:

1. **Debt Consolidation:** 5,268 applications
2. **Credit Card:** 2,499 applications
3. **Other:** 1,912 applications
4. **Home Improvement:** 1,438 applications
5. **Major Purchase:** 1,055 applications

6. Trends and Geographical Insights

- **Monthly Trend:** Loan applications show a steady progression throughout the year, with notable peaks in volume as the year progresses (e.g., reaching over 1,500 applications in peak months).
- **Interest Rates:** The average interest rate of 12.3% is competitive, while the average DTI of 13.35% suggests that most borrowers have a manageable debt level relative to their income.

Recommendations

1. **Risk Mitigation:** Investigate the 15.9% "Bad Loan" segment to identify common denominators (e.g., specific employment lengths or loan grades) to tighten future lending criteria.
2. **Product Focusing:** Since "Debt Consolidation" is the primary driver, tailored financial products or lower interest rates for this category could further increase application volume.
3. **Monitoring "Current" Loans:** Closely monitor the 513 active loans to ensure they transition to "Fully Paid" rather than "Charged Off."